

RESERVE BANK OF INDIA
DEPARTMENT OF REGULATION, CENTRAL OFFICE, MUMBAI
RBI/2024-25/145 DOR.STR.REC.20/21.04.048/2024-25
September 27, 2024
Framework for Compromise Settlements and Technical Write-offs

1. Board-Approved Policy: All commercial banks and NBFCs must implement comprehensive Board-approved policies laying down the delegation of powers, eligibility criteria, and haircut rationales for undertaking compromise settlements and technical write-offs.
2. Wilful Defaulters and Fraud Accounts: Regulated entities may enter into compromise settlements with borrowers categorized as wilful defaulters or fraud accounts without prejudice to any ongoing criminal proceedings. However, such settlements require the specific prior approval of the Board of Directors of the bank or NBFC.
3. Cooling-off Period for Fresh Credit: In respect of borrowers where a compromise settlement has been finalized, a mandatory cooling-off period of not less than 12 months shall apply before the RE can grant any fresh credit exposure. For restructuring, the cooling period remains governed by prudential norms.

4. Technical Write-offs: Technical write-offs are an accounting mechanism to clear non-performing assets from the balance sheet without waiving the legal claims against the borrower. All technical write-offs must be approved by the Audit Committee of the Board and tracked in separate off-balance sheet recovery ledgers.
5. Reporting to Credit Bureaus: Every compromise settlement and technical write-off must be reported to all four licensed Credit Information Companies (CICs), distinctly tagging the account status as 'Settled' or 'Written-Off' to ensure transparent credit reporting.
6. Compromise Terms: The settlement agreement must specify the down payment percentage, payment schedule, and default terms.

7. Valuation of Underlying Collateral: In all compromise proposals where the aggregate outstanding ledger balance exceeds rupees one crore (INR 1,00,00,000), regulated entities must obtain at least two independent valuation reports from registered valuers to establish current realizable market value of mortgaged properties.
8. Staff Accountability Examination: Every compromise settlement involving sacrifice of debt must be accompanied by a documented examination of staff accountability. Any settlement where staff culpability or procedural malfeasance is suspected must be referred to the bank's vigilance department.
9. Concession Authority: Concessions or waivers of interest and principal cannot be sanctioned by any authority who was associated with the sanction of the original credit facility.

10. Reporting to the Board: A quarterly review report of all compromise settlements and technical write-offs approved by various delegated authorities must be submitted to the Board of Directors.

11. Public Disclosures: Banks and NBFCs shall disclose in their notes to accounts the total number of accounts settled, total outstanding dues, amount of sacrifice or haircut, and recoveries effected through legal action.

12. Recovery Retention: Amounts recovered subsequent to technical write-offs must be credited directly to the profit and loss statement under non-interest miscellaneous income.

Yours faithfully,

(Rajeshwar Rao)

Chief General Manager